

Spotlight on Management Case Study

Spotify's Podcasting Strategy Stumbles

Spotify is the world's largest on-demand music service, with more than 574 million active users in 180 countries. The company is known for its skillful use of technology to create ultra-personalized recommendations for songs and other audio content for its users.

Spotify doesn't have a monopoly on music streaming. Users can also find their favorite music, audiobooks, and podcasts on many other platforms. What makes Spotify stand out is its superior way of precisely serving the right audio (or other content) at the right time to each individual using its service. This ability to hyper-personalize recommendations for each Spotify user would not be possible without AI and is a major source of its competitive advantage.

Spotify uses AI in myriad ways to drive this personalization strategy. For example, Spotify's most popular feature is AI DJ, an AI-powered disc jockey that chooses what to play for users based on their specific music tastes and listening behavior. The AI DJ curates tracks for the individual user based on the data it has acquired about them, using generative AI to narrate its selections in a hyper-realistic voice. AI DJ will switch songs based on each user's real-time feedback. It can discover music you haven't listened to recently or recommend new selections based on what it thinks you'd like.

Spotify's Discover Weekly uses Spotify AI algorithms to craft a series of custom-made playlists of 30 songs each Monday for every user. Playlist selection criteria include each user's streaming history, likes and dislikes, and songs they added to the playlist. The playlist includes tracks that the user might not have heard before, but these recommendations are based on each user's search history and preferences. This capability helps introduce listeners to new tunes.

Spotify uses AI audio models to analyze data from raw audio tracks and categorize songs. This helps Spotify evaluate all songs to create recommendations, whether or not they are covered online. For example, if a new song is released by a new artist on the Spotify platform, AI natural language processing (NLP) models might not discover it if coverage online and in social media is low. However, by using song data from audio models, the platform will still be able to analyze the track and recommend it to similar users along with other more popular songs.

Spotify's business strategy is multi-faceted and includes optimizing revenue from its free/freemium business model, forming partnerships with artists, music labels, and content providers, and expanding its platform to include podcasts, audiobooks, and other audio content, in addition to personalization. This approach has diversified Spotify revenue streams, amplified user engagement, and solidified its market presence. Spotify's profitability has fluctuated, but experts believe the company is positioned to grow its earnings going forward.

This multipronged business strategy had served Spotify well, but it didn't prevent the company from stumbling when it decided to also become a content creator, with podcasts delivering that content. Spotify's podcast strategy focused on original content from its in-house studios Parcast and Gimlet. These studios had excellent staff and built-in audiences. However, as part of Spotify, the studios failed to attract large audiences or produce new hit shows. Spotify did not give their shows the right marketing or support. Keeping certain podcasts exclusive to Spotify caused their audience to drop.

Spotify's preoccupation with original content also included making expensive deals with celebrities and celebrity studios as a means of attracting new listeners. Some deals worked out, including the Batman Unburied podcast by David S. Goyer and the Case 63 scripted drama with Julianne Moore and Oscar Isaac. But many have not. Spotify's troubled celebrity deal with Prince Harry and Meghan Markle's Archewell Audio production company fell apart when Archewell failed to deliver all of the podcasts specified in its \$20 million Spotify contract. Similar deals with high-profile studios such as Barack and Michele Obama's Higher Ground also fizzled out.

All told, Spotify spent more than \$1 billion to build its podcasting empire, far more than any of its rivals. It paid \$286 million for the podcast studios and spent \$250,000 or more per episode on exclusive shows to lure new listeners. These investments have not paid off. No one in the podcasting business is making much money. The amount of Spotify's investment relative to the size of the podcasting market was way out of line.

Spotify's management did not understand that podcasts have a fundamentally different formula for success from film, video games, books, and music. Franchises, intellectual property (IP), and name recognition can be enough to deliver a hit across many different mediums. For podcasts, however, a series from an acclaimed filmmaker, best-selling author, celebrity, or former president may barely register on podcast channels.

Spotify has now modified its podcast strategy to capitalize on its ability to sell ads to deliver more value for content creators and users. It cut podcasting staff and programming and it is upgrading its advertising tools for podcasters. The company is using listener preferences, based on music choices and listening habits, to target listeners with ads. It introduced a marketplace called Spotify Audience Network that enables advertisers to reach particular types of listeners, rather than buying spots on specific shows. To date, Spotify hasn't come up with anything unique in podcasting to make its platform stand out from competitors such as Apple, Stitcher, SiriusXM, and others. The most popular platform for podcasts is YouTube.

CASE STUDY QUESTIONS

Analyze Spotify's business strategy using the value chain and competitive forces models.

What is the role of information technology and AI in Spotify's business strategy?

Why did Spotify's focus on podcasting initially stumble? What management, organization, and technology factors were involved?

Spotify Chief Executive Daniel Ek has said he wants Spotify to evolve from a music streaming company to being the world's largest audio company, with content including audiobooks, education, sports and news. According to Ek, podcasting has helped make the company a major podcasting platform despite its rocky start. Do you think Spotify will be able to achieve this goal? Why or why not?